

Equity Research Report

The Goldiam International

NSE: GOLDIAM | BSE: 526729

Sector: Gems & Jewellery (Integrated LGD Manufacturer & Retailer)

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By Vivang Dalal

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Part - 1 Industry Analysis

1. Industry Introduction

The global luxury jewelry market is widely recognized by its prestigious retail storefronts, yet these consumer-facing brands represent only a fraction of the sector's operational reality. The true structural power and execution engine lies within the Original Equipment Manufacturer (OEM) and Original Design Manufacturer (ODM) ecosystem. Major global retailers, department stores, and independent jewelry brands rarely manufacture their own inventory. Instead, they outsource end-to-end production to fully integrated manufacturers predominantly based in the Asia Pacific region, which holds a commanding global revenue share. As consumer demands shift toward complex, transformable, and custom-designed jewelry, OEMs are the essential backbone of the industry, managing design, precision manufacturing, sourcing, and logistics, ultimately dictating the speed to market and profitability of global luxury retail.

The Scale of the Global Market & Luxury Context

While high-end luxury goods act as the visible catalyst for design trends, the broader global jewelry market is vast, with estimates projecting its size to surpass USD 304 billion in 2026, advancing at a steady CAGR of approximately 5.4% to 8.7% over the coming decade. Within this massive ecosystem, fine jewelry and bridal segments drive significant volume, with rings accounting for over 32% of the total market share due to enduring engagement and wedding demand. The reliance on offshore OEM partnerships allows Western luxury retailers to maintain capital-light balance sheets, shifting the heavy burden of inventory, raw material procurement, and labor directly onto the manufacturers.

India's Role in The Industry

India is the undisputed epicenter of the global OEM jewelry trade. Beyond its historical dominance in cutting and polishing over 90% of the world's rough diamonds, the country serves as the premier export manufacturing zone for finished diamond-studded jewelry.

Export Dominance: India's overall Gem & Jewellery exports stood at a massive USD 27.72 billion for FY 2025-26, highlighting its indispensable role in the global supply chain.

Structural Resets: The traditional OEM market is currently undergoing a rapid transformation. While traditional natural cut and polished diamond exports contracted by 8.52% to USD 12.16 billion in FY 2025-26 due to inventory corrections and tariff uncertainties, the export of gold jewelry studded with lab-grown diamonds surged by an incredible 31.30% to USD 1.42 billion. This signals a massive pivot by top-tier Indian OEMs toward higher margin, technology-driven asset creation.

2. Macro Industry Statistics

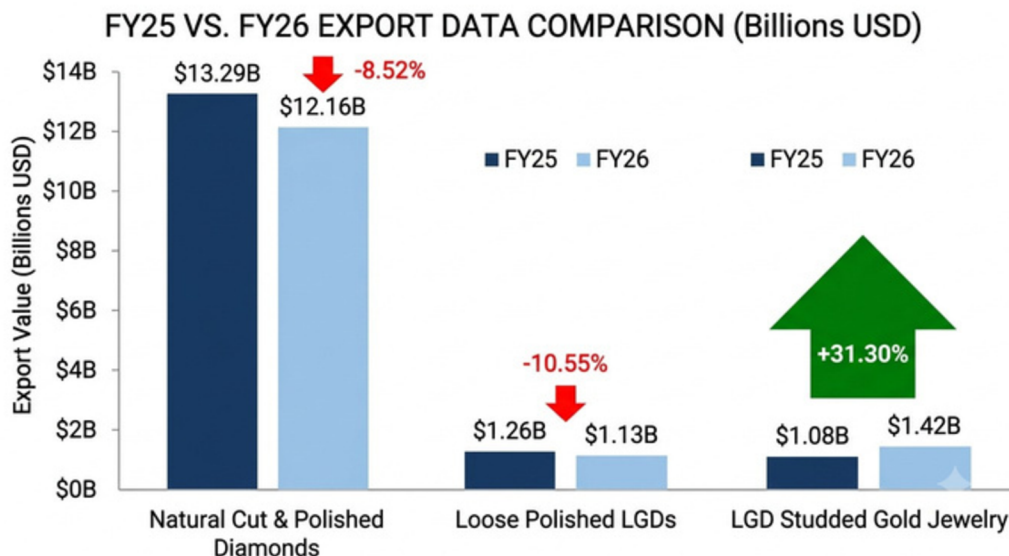
The global diamond and jewelry sector is undergoing a massive reallocation of market share. The data reveals a clear divergence: while the traditional natural diamond market faces structural headwinds, the Lab Grown Diamond (LGD) sector is experiencing hyper growth, particularly in value added manufacturing.

The Global Diamond & LGD Market Scale

Total Market Valuation: The overall global diamond market size was valued at USD 42.7 billion in 2025 and is projected to scale to USD 44.1 billion in 2026.

The LGD Surge: Operating as the primary growth engine within this space, the global lab grown diamond market was valued at USD 29.46 billion in 2025 and is forecasted to reach USD 33.54 billion by 2026.

Retail & Bridal Penetration: The commercial bridal segment has definitively pivoted. In the United States the world's largest consumer market for diamonds 61% of all couples opted for lab grown diamond engagement rings in 2025, up from 52% in 2024. Furthermore, stones sized up to 2 carats command an overwhelming 70.07% share of the global LGD market, highlighting where the commercial volume sits.

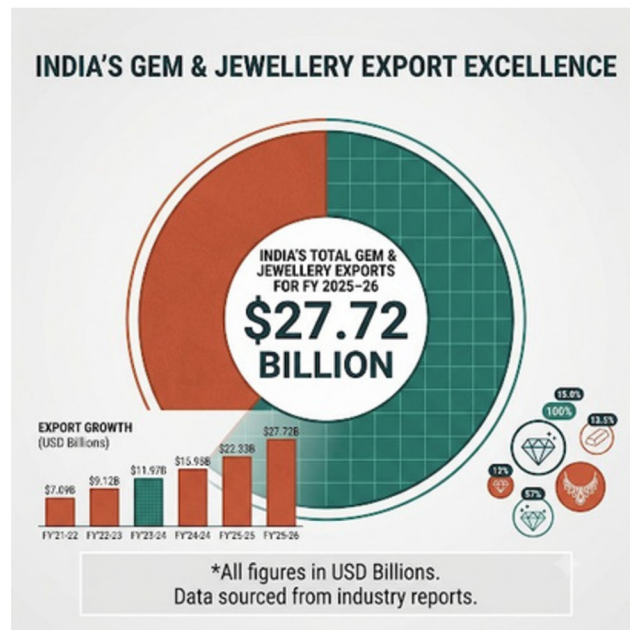


India's Export Dominance (FY 2025-26 Data)

India remains the absolute epicenter of the global jewelry OEM and diamond polishing trade. Official data from the Gem & Jewellery Export Promotion Council (GJEPC) for the financial year ending March 2026 highlights a structural reset in the country's export basket.

Total Export Volume: India's overall gem and jewelry exports demonstrated immense resilience, totaling USD 27.72 billion (₹2,44,827.26 crore) for FY 2025-26.

The Traditional Contraction: Cut and Polished Diamonds (CPD), representing the natural diamond market, remained the largest export category (43.9% of total exports). However, CPD export values contracted by 8.52% year on year, dropping to USD 12.16 billion. This decline is directly attributed to US tariff uncertainties, global inventory corrections, and aggressive competition from alternative luxury segments.



The OEM Margin Shift (Loose Stones vs. Studded Jewelry)
 The FY26 export data perfectly illustrates why integrated OEMs hold the structural power in the modern jewelry market:

Wholesale Deflation: Exports of loose, polished lab grown diamonds declined in value by 10.55% year on year to USD 1.13 billion. Crucially, this revenue drop occurred even as export volumes increased significantly, signaling an ongoing price correction at the raw wholesale level.

Studded Jewelry Premium: In stark contrast, exports of gold jewelry studded with lab grown diamonds surged by an exceptional 31.30% year on year, rising from USD 1.08 billion to USD 1.42 billion in FY 2025-26.

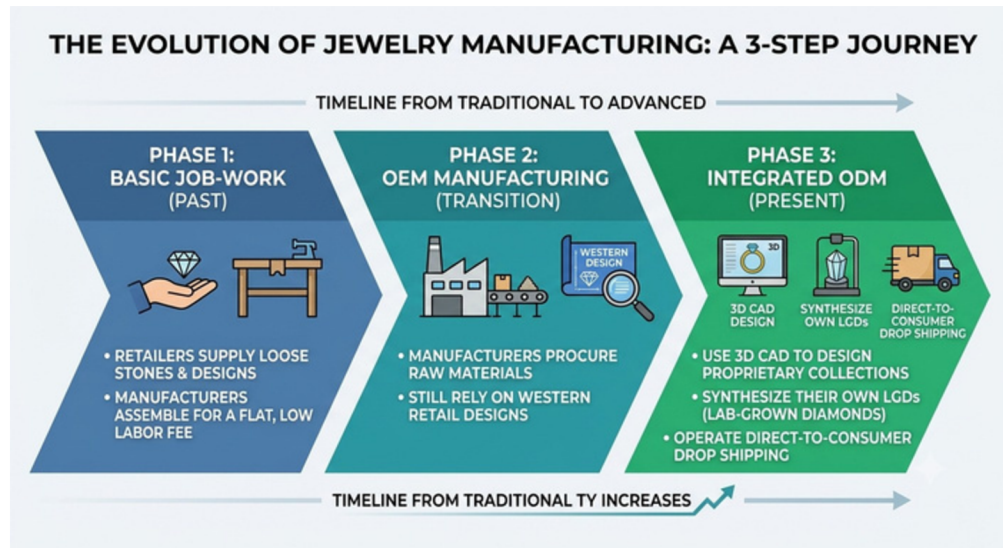
(Key Takeaway:

The statistics prove that the profit pool has migrated. While the wholesale price of raw lab-grown diamonds is deflating, manufacturers who are vertically integrated converting those cheaper loose stones into finished, studded jewelry are capturing unprecedented top-line growth and retail margins.) Remove this after presentation

3. Evolution of the Industry & Consumer Psychology

The Manufacturing Evolution: From Job-Work OEM to Integrated ODM

The operational identity of the global jewelry manufacturer has transformed fundamentally over the past decade. Historically, Indian manufacturers operated under a basic Original Equipment Manufacturer (OEM) or "job work" model. Western retailers and luxury brands provided the technical drawings, loose stones, and precious metals, while the manufacturing facilities merely executed the manual assembly for a flat, low margin labor fee.



Today, that power dynamic has been completely inverted. The industry has shifted heavily toward an integrated Original Design Manufacturer (ODM) framework. Top tier manufacturers now control the entire creative and production pipeline. Utilizing in house 3D CAD engineering, rapid prototyping, and simulated casting flow analysis, ODMs independently design proprietary collections, forecast trends, and pitch finished product lines directly to global retail giants. By offering these end to end services which increasingly include in house lab grown diamond synthesis and white label e-commerce drop shipping, modern ODMs have captured the value added margins previously reserved for retailers, transitioning from interchangeable vendors into irreplaceable strategic partners.

The Psychological Shift: The Generational Pivot in Luxury

Simultaneously, the psychological drivers behind luxury consumption have undergone a permanent generational reset. The traditional marketing narrative of "diamond scarcity" has lost its leverage with Millennial and Gen-Z demographics. The modern luxury buyer prioritizes ethical sourcing, supply chain transparency, and maximum aesthetic value over historical mining legacy.

The Bridal Takeover: The commercial bridal segment highlights this shift definitively. According to recent wedding industry data from The Knot Worldwide, the percentage of couples in the United States opting for lab grown diamond engagement rings surged to 61% in 2025, up from 52% the previous year.

The Size & Value Arbitrage: Consumers are not utilizing the structural price arbitrage of Lab-Grown Diamonds (which cost 40% to 70% less than natural stones at wholesale) to shrink their overall budgets.

Instead, they are upgrading their purchases. Rather than settling for a 1-carat mined diamond, the modern consumer routinely opts for 2-carat to 3-carat lab grown center stones with higher clarity and color grades, cementing LGDs as a permanent, high-volume luxury category.



Beyond the bridal sector, the accessible price points of lab grown diamonds have fundamentally altered the retail purchasing calendar. Traditional natural diamond jewelry was heavily tethered to major, infrequent life milestones (e.g., weddings, 10-year anniversaries) due to its prohibitive cost and high capital requirements.

The LGD market has democratized fine jewelry, sparking a massive rise in female "self gifting" and spontaneous consumer purchasing. Buyers are increasingly purchasing diamond jewelry to celebrate personal career milestones, daily achievements, or non traditional lifestyle events. This psychological shift converts diamond jewelry from a rare, once in a lifetime heritage purchase into a recurring, high frequency lifestyle accessory, drastically expanding the annual sales volume and inventory turnover rate for fully integrated ODMs.

4. The Value & Supply Chain

To understand the shifting balance of power in the global jewelry market, one must evaluate the massive operational divergence between the legacy Natural Diamond (ND) supply chain and the modernized Lab Grown Diamond (LGD) ecosystem. For Original Equipment Manufacturers (OEMs), the supply chain determines working capital requirements, geopolitical exposure, and ultimate margin realization.

A. The Natural Diamond (ND) Supply Chain

The traditional diamond value chain is notoriously fragmented, capital intensive, and entirely dependent on geographic mineral extraction. It operates through a rigid, six stage global pipeline:

Exploration & Extraction (Mining): Controlled by a highly concentrated oligopoly (e.g., Alrosa, De Beers, Rio Tinto).

Aggregation & Sorting: Rough stones are sent to central aggregators to be sorted into thousands of categories based on strict parameters.

Global Trading Hubs: Parcels are auctioned or sold via "sights" in centers like Antwerp (Belgium), Dubai (UAE), and Ramat Gan (Israel).

Cutting & Polishing: Over 90% of the world's rough diamonds are exported to Surat, India, for precision manufacturing.

OEM Jewelry Assembly: Polished stones are acquired by Indian OEMs, set into gold or platinum, and exported.

Global Retail Distribution: Finished jewelry arrives in wholesale centers or retail storefronts in the US, Europe, and China.

The Problems faced by OEMs:

Geopolitical Vulnerability: The supply chain is critically exposed to international crossfire.

Despite heavy G7 sanctions, Russia remained the world's largest rough diamond producer by value, recovering 31.5 million carats worth USD 2.72 billion. Botswana followed, producing 15.5 million carats valued at USD 1.98 billion. With global rough diamond production falling to 98.8 million carats (valued at USD 9.23 billion), nearly 51% of global rough diamond value originates from just two countries.

The Compliance Chokepoint: Due to the G7's stringent origin tracing mandates against Russian diamonds, OEMs and traders now face immense compliance bottlenecks. Processing mixed-origin rough diamonds into the EU and US requires rigorous, audited documentation, drastically slowing down lead times.

Working Capital Lock Up: OEMs operating in the ND space suffer from massive capital inefficiencies. Procuring volatile rough stones and navigating the multi continent logistics chain often forces manufacturers to lock up working capital for 120 to 180 days before realizing revenue.

B. The Lab Grown Diamond (LGD) Supply Chain

The Lab Grown Diamond value chain replaces geographic extraction with localized, technology driven manufacturing. By consolidating the pipeline, LGDs have structurally transferred the profit pool back to the OEM.

Technology Labs (Synthesis): Diamond seeds are grown locally using Chemical Vapor Deposition (CVD) or High Pressure High Temperature (HPHT) reactors.

In House Cutting & Polishing: Advanced lasers and robotics process the raw synthetic stones.

Integrated ODM Assembly: Stones are immediately passed to the in house design and casting floors to be studded into finished jewelry.

Omnichannel Retail: Shipped directly to global B2B retail partners or sold via the OEM's own direct to consumer (D2C) channels.

The Advantage for OEMs:

Independence & Sanction from the G7 traceability sanctions currently strangling the traditional diamond trade. By growing diamonds domestically, OEMs bypass the disrupted trading hubs in West Asia and eliminate reliance on the Russian and African mining oligopoly.

The Volume Flip: The agility of this supply chain has triggered a historic volume flip in the world's largest manufacturing hub. Indian export cycles recently recorded 18.84 million carats of lab grown diamonds compared with just 16.00 million carats of natural diamonds.

Capital Velocity: The LGD closed loop system dramatically slashes inventory turnaround times. By cutting out global aggregators and international transit, top tier integrated ODMs can compress their working capital cycle from 180 days down to 30-45 days, generating immense free cash flow while capturing the entire margin spread from the raw "seed" to the retail shelf.

5. Industry Economics

A. The Unit Price Arbitrage (1-Carat D/VVS2 Benchmark)

Natural Diamond Wholesale Cost: \$3,000 - \$3,500 per carat.

LGD Wholesale Cost: \$250 - \$305 per carat (approx. 90% lower).

Natural Diamond US Retail Price: \$4,500 - \$7,000.

LGD US Retail Price: \$550 - \$1,000 (approx. 80% lower).

OEM Margin Spread KPI: The cost of LGD production has deflated at a steeper rate than the retail price. Integrated ODMs capturing the retail spread now target gross margins of 50% to 65% on finished LGD engagement rings.

B. Capital Intensity & Working Capital Velocity

Natural Diamond OEM Inventory Cycle: 120 - 180 Days.

(This requires heavy working capital lock-ups due to volatile rough diamond procurement from global mining syndicates.)

Integrated LGD OEM Inventory Cycle: 30 - 45 Days.

Velocity KPI: By synthesizing seeds locally and eliminating the mining premium, integrated LGD manufacturers accelerate working capital velocity by roughly 3x to 4x, drastically increasing free cash flow generation.

C. India Export Profitability KPIs (FY 2025-26)

Loose Polished LGD Exports: Declined 10.55% year on year to US\$ 1.13 billion.

(This decline signifies that the wholesale price of raw LGD seeds has hit a deflationary curve.)

LGD Studded Gold Jewelry Exports: Surged 31.30% year on year to US\$ 1.42 billion.

Value Migration KPI: The profit pool has completely decoupled from loose stone trading. The economic value is now heavily concentrated in value added studded jewelry, where manufacturers capture the retail markup.

D. The Manufacturing Cost Structure (Top-Tier OEM Benchmark)

The transition from Natural Diamonds (ND) to the Lab Grown Diamond (LGD) ecosystem fundamentally rewrites the traditional Original Equipment Manufacturer (OEM) cost architecture based on IMARC Group Manufacturing Reports.

1. The Legacy Cost Architecture (Traditional ND OEM)

Historically, diamond studded jewelry manufacturing has been intensely weighted toward raw material procurement, leaving OEMs highly vulnerable to commodity pricing.

Raw Materials: Accounts for 85% to 95% of total Operating Expenses (OpEx).

Direct Labor & Craftsmanship: Accounts for 5% to 10% of OpEx (covering CAD design, precision setting, and polishing).

Overhead & Utilities: Accounts for the remaining 2% to 5% (covering energy, casting machinery, and certification).

Profitability Floor: Under this heavy material burden, legacy OEMs typically capture Gross Profit Margins of 25% to 40% and Net Profit Margins of 10% to 25%.

2. The Integrated LGD Cost Architecture (The Margin Arbitrage)

Substituting mined diamonds with lab grown stones decouples the manufacturer from mining premiums.

Cost Compression: A benchmark 1-carat LGD wholesales for approximately 80% to 90% less than a comparable natural diamond, drastically compressing the primary COGS variable.

Gross Margin Expansion: Because finished LGD retail pricing remains highly resilient, the raw material cost savings flow directly to the bottom line. Fully integrated LGD manufacturers targeting Western retail markets routinely capture Gross Margins ranging from 40% to 60% on finished studded goods.

EBITDA Benchmarks: By reallocating capital toward 3D prototyping and direct to consumer (D2C) fulfillment, elite integrated LGD models drive industry leading EBITDA margins into the 22% to 28% range.

6. Geopolitics, Tariffs & Trade Compliance

The global jewelry manufacturing sector faces unprecedented regulatory friction in 2026, fundamentally altering raw material sourcing and export timelines.

A. G7 Sanctions & Origin Traceability (The Natural Diamond Bottleneck)

The traditional natural diamond market is currently suffocating under severe regulatory enforcement designed to cut off Russian rough diamond revenues.

The 2026 Mandate: According to the European Commission and the Antwerp World Diamond Centre (AWDC), the G7's Sixteenth Sanction Package enforced a mandatory digital traceability system effective January 1, 2026. Importers of natural polished diamonds equal to or larger than 0.5 carats must now provide a verified "Due Diligence Statement on Diamond Origin" to clear customs.

The LGD Exemption: Crucially, based on AWDC and G7 guidelines, synthetic and lab grown diamonds (LGDs) are explicitly exempt from these origin tracing sanctions. This regulatory arbitrage allows integrated LGD OEMs to export finished goods without facing the severe customs delays currently paralyzing natural diamond supply chains.

B. The Kimberley Process & Ethical Compliance

Based on reports from the World Diamond Council and the Gem & Jewellery Export Promotion Council (GJEPC), the regulatory burden on traditional natural diamond manufacturers is intensifying as ethical sourcing takes center stage.

India's 2026 Chairship: On January 1, 2026, India officially assumed the Chairship of the Kimberley Process (KPCS), hosting the Intersessional Meeting in Mumbai in May 2026. The Indian government is aggressively pushing a "3Cs" framework (Confidence, Compliance, and Credibility) forcing traditional OEMs to completely overhaul their auditing and provenance tracking systems to maintain access to Western retail markets.

C. U.S. Customs Enforcement & Tariffs

Manufacturers are increasingly sensitive to shifts in U.S. import tariffs and aggressive customs / enforcement.

DOJ Trade Fraud Task Force: According to the U.S. Department of Justice (DOJ), the newly formed Trade Fraud Task Force surpassed \$1 billion in civil and criminal recoveries by July 2026. The DOJ's National Fraud Enforcement Division is aggressively prosecuting customs fraud, illegal transshipment, and the evasion of Section 301 tariffs, including charging over \$933 million in jewelry import fraud in Chicago.

Strategic Imperative: Based on this heightened U.S. Department of Homeland Security scrutiny, localized or dual shore manufacturing is no longer just a margin optimizer for OEMs; it is a mandatory legal safeguard against transshipment penalties and tariff volatility.

Part - 2: Company Analysis

1. Executive Summary & Core Statistics

GoldiamInternational Ltd. represents a highly insulated, structural value compounder within the global luxury ecosystem. For wealth management strategies prioritizing multi decade asset accumulation and steady dividend generation, the company offers a highly de-risked mechanism to gain exposure to real luxury assets. As outlined in the FY26 corporate disclosures, the company has decisively decoupled from the highly fragmented natural diamond trade by vertically integrating Lab Grown Diamond (LGD) manufacturing. This transition effectively converts deflating raw CVD/HPHT diamond seeds into resilient, high margin finished consumer goods while operating with total independence from opaque global mining syndicates. Furthermore, the business circumvents adversarial geopolitical trade friction through a localized US origin casting strategy, remaining tariff agnostic in its largest market. Supported by a net debt free balance sheet, corporate trust is consistently validated through disciplined capital allocation. This ensures that structural free cash flow is organically distributed to long term equity holders to accumulate steady dividends, while simultaneously funding the aggressive domestic B2C retail expansion (ORIGEM) entirely through internal accruals.

Core Financials & KPIs (As of July 16, 2026)	
Current Share Price:	₹345
52-Week High:	₹393.65
52-Week Low:	₹198.75
Market Capitalization:	₹5,290.57 Crore
Price-to-Earnings (P/E) Ratio:	31.00x
Price-to-Book (P/B) Ratio:	5.07x
FY26 Consolidated Revenue:	₹1,021.23 Crore (+27.5% YoY)
EBITDA Margin:	24.3% (Expansion of 155 bps YoY)
FY26 Consolidated EBITDA:	₹248.67 Crore (+36.2% YoY)
PAT Margin:	16.7% (Expansion of 208 bps YoY)
FY26 Consolidated PAT:	₹170.59 Crore (+45.7% YoY)
Diluted EPS:	₹15.40
Inventory Turnover Ratio (FY26 Consolidated):	1.11x
Institutional Order Book:	As of March 31, 2026, the executable order book stood at ₹200.00 Crore. This metric exclusively tracks traditional wholesale commitments and excludes spot e-commerce dropshipping orders.

2. History of the Company

The historical trajectory of Goldiam International Ltd. reflects a systematic corporate migration from a low margin diamond processor to a fully vertically integrated luxury jewelry platform. The company's corporate evolution is defined by four distinct operational phases outlined in its institutional histories and statutory reports:

Phase 1: Foundation and Commodity Operations (1986-1994)

Goldiam International commenced its commercial operations in 1986, focusing strictly on the export of cut and polished diamonds. During this initial phase, the company operated as a commodity merchant, establishing its foundational infrastructure as the first diamond cutting and jewelry manufacturing company inside the Santacruz Electronics Export Processing Zone (SEEPZ), Mumbai.

Phase 2: Downstream Jewelry Shift & Geographic Expansion (1995-2014)

Recognizing the cyclicity and thin margins of raw diamond cutting, the company executed a strategic shift toward value added diamond jewelry production and wholesale distribution. To optimize its global distribution architecture and eliminate intermediary layers, the company established Goldiam USA Inc. in New York. This subsidiary allowed Goldiam to sell directly to leading international large format retailers, wholesalers, and department stores, cementing its status as an established backend vendor partner.

Phase 3: Technological Transformation & Early-Mover LGD Pivot (2015-2018)

The company became one of the earliest established jewelry exporters to systematically grow, manufacture, and distribute Lab Grown Diamonds (LGD) and LGD studded jewelry. To anchor this pivot with manufacturing autonomy, Goldiam executed the strategic acquisition of Eco-Friendly Diamonds LLP (EDL), giving the group direct ownership over advanced Chemical Vapor Deposition (CVD) diamond cultivation reactors and securing long term raw material input margins.

Phase 4: Vertical Consolidation & Domestic B2C Brand Incubation (2018-2026)

The company further consolidated its financial and manufacturing autonomy over its high margin raw material synthesis arm, building its total ownership stake in EDL to 88%. Capitalizing on this backward integrated loop, the company initiated its foray into branded domestic jewelry retail under the brand name 'ORIGEM'. This division focused on rolling out high margin Company Owned, Company Operated (COCO) boutiques inside marquee regional malls and high streets to capture secular domestic luxury spending

3. Corporate Management & Governance

Executive Leadership & Strategic Focus

The corporate transition of Goldiam International is spearheaded by a promoter group that blends multi decade manufacturing expertise with modern, tech-driven retail execution.

Rashesh Bhansali (Executive Chairman): Bringing over 28 years of operational experience in the gems and jewellery sector, he has orchestrated the company's structural pivot from a low margin commodity exporter into a high margin, zero debt, cash rich enterprise.

Anmol Bhansali (Managing Director): An alumnus of the Wharton School (University of Pennsylvania) with specialized certifications from the Gemological Institute of America (GIA). With over a decade of industry exposure, he drives the B2B digital dropshipping integration and leads the strategic rollout of the domestic B2C ORIGEM retail division.

Key Managerial Personnel (KMP) & Financial Control

Mrs. Darshana J. Faldu (Chief Financial Officer): A qualified Chartered Accountant, Mrs. Faldu has been a critical pillar of the company's financial governance architecture, having served the organization since January 2013. With over 14 years of professional experience, she oversees Goldiam's rigorous internal financial controls, working capital optimization, and statutory compliance frameworks, ensuring the company maintains its highly efficient, net debt free operating structure.

Executive Compensation & Shareholder Alignment

As detailed in the FY25 Annual Report, management compensation structures are highly disciplined and heavily indexed to bottom line profitability rather than top line vanity metrics. The remuneration framework for both the Executive Chairman and Managing Director includes a conservative base salary of ₹10 Lakh per month. To ensure absolute alignment with long term equity compounding and cash generation, their variable performance commission is strictly capped at 5% of net profit.

Board Independence & Risk Oversight

The Board maintains an optimal equilibrium between executive execution and independent oversight, featuring a 50% independent composition.

Rigorous governance is enforced across critical committees. The Audit, Stakeholders Relationship, and Risk Management Committees are chaired by Pannkaj C. Ghadiali, a veteran Independent Director and practicing Chartered Accountant since 1979.

As mandated by the corporate governance framework, Independent Directors conduct dedicated executive sessions to evaluate the performance of the Chairman, assess risk containment strategies, and review the structural integrity of financial reporting without management presence.

4. About the Business Model

Goldiam International operates an integrated luxury manufacturing and retail architecture designed to optimize profit spreads across the lab grown diamond (LGD) value chain. The operational flow is divided into distinct, structured verticals that manage capital velocity, mitigate systemic inventory risk, and leverage tech driven omnichannel distribution networks.

I. Backward Integrated Upstream Procurement Engine

The foundational tier of Goldiam's model relies on supply chain autonomy. The company operates a flexible sourcing structure that balances in house synthesis with dynamic open market procurement:

Captive Cultivation Core: Through its 88% subsidiary, Eco-Friendly Diamonds LLP (EDL), Goldiam operates an advanced foundry utilizing 30 specialized Chemical Vapor Deposition (CVD) reactors running continuously within the SEEPZ zone. This facility functions as a strategic pricing bench and margin protector, supplying approximately 10% of the company's internal diamond seed requirements.

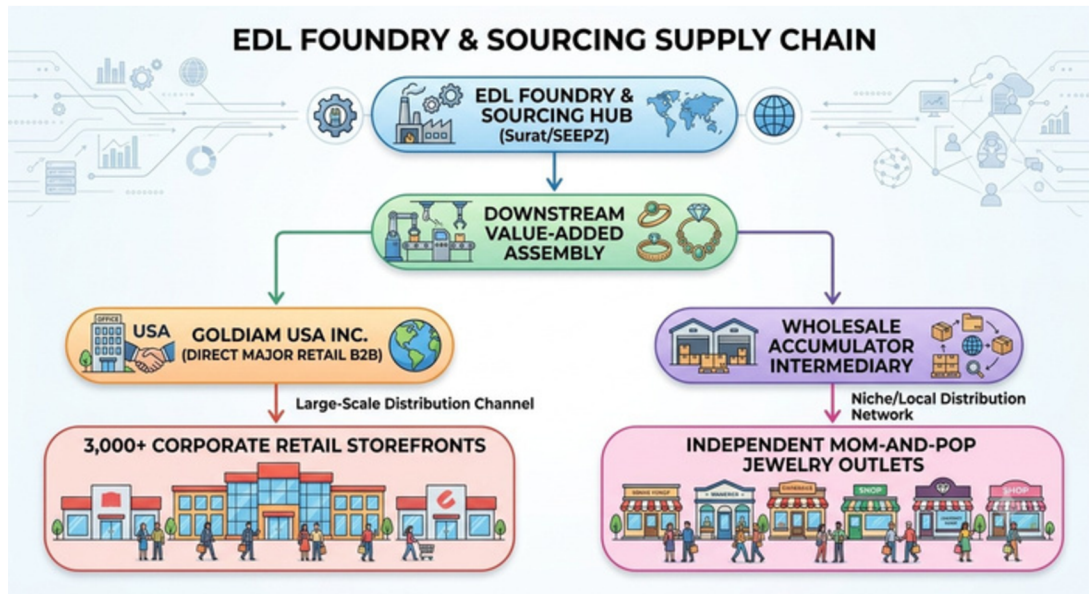
Dynamic Supply Matrix: The remaining 90% of raw diamond requirements are dynamically procured from deep vendor networks in Surat and established sub geographies. This structure enables the company to scale operations without encumbering its balance sheet with heavy, asset intensive upstream capital expenditure, insulating the firm from raw seed manufacturing obsolescence.

II. B2B Global ODM Export Architecture

The primary revenue pipeline is structured around direct institutional partnerships with major large format corporate retailers in North America and Western Europe, bypassing traditional middleman broker layers via its marketing arm, Goldiam USA Inc.

Bulk Restocking & Category Focus: Goldiam operates strictly as an Original Design Manufacturer (ODM) focused on high Average Selling Price (ASP) product lines. Historically, the B2B division has heavily leaned on the bridal segment (engagement rings and wedding bands), which comprises roughly 85% of total sales volume and provides stable, long cycle SKU re-order lines. To optimize product realizations, Goldiam is expanding into premium fashion segments, specifically complex, high skill items like LGD tennis bracelets and necklaces.

Targeted Distribution Channel: Management intentionally avoids direct exposure to low volume independent mom and pop storefronts (retailers with fewer than 5 stores) to minimize retail counterparty collection risk. Instead, the company sells bulk volume to intermediate wholesale accumulators who absorb localized collection and logistics risks to service the tail end independent market.



III. Inventory Velocity & Omnichannel Logistics

A defining characteristic of Goldiam's business model is its capital rotation methodology, which shifts terminal inventory risk away from the manufacturing floor.

Consignment Structuring: As of March 31, 2026, 65.5% of consolidated inventory sits directly on Western retail partner shelves on a consignment basis. This structure keeps finished luxury stock directly visible to retail traffic while minimizing factory floor inventory risk, with items converting to definitive revenue as they cross the consumer counter.

Automated Spot Dropshipping: E-commerce fulfillment pipelines contribute 27.4% of overall export sales by value (as of Q4 FY26). Goldiam's backend digital infrastructure is integrated into partner retailer online storefronts. Spot orders placed online trigger instantaneous single piece automated dropshipping from SEEPZ directly to the Western end consumer. This process compresses payment cycles to 7-10 days and significantly limits the factory floor footprint, which carries a lean 25.0% inventory overhead as work-in-progress (WIP) and core stock.

IV. B2C India Domestic Retail Architecture (ORIGEM)

The domestic market strategy utilizes a high margin consumer brand network designed to capture premium retail margins through direct market access.

Strict Capital Controls (COCO Blueprint): ORIGEM operates entirely via a Company Owned, Company Operated (COCO) store framework. This approach completely avoids franchise led inventory pricing degradation and preserves absolute control over local unit economics. Stores are located in affluent micro markets, capitalizing on high footfall corporate lifestyle zones and premier shopping centers.

Full Stack Value Strategy: To address regional demand variations, ORIGEM is transitioning to a full stack product catalog. This structure blends entry level fashion pieces using 9 karat gold bases to capture high velocity self gifting spend (under the ₹15,000 to ₹20,000 threshold) with top tier VVS clarity, EF

color, flawless bridal collections. This complete retail presence is backed by 100% independent IGI certification and strict lifetime exchange/buyback clauses to establish strong brand trust.

Experiential Tech Integration: In-store conversion rates are driven by digital sales enablers, notably India's first photorealistic 3D Digital Ring Builder. Operating both online and via in store touchpoints, this platform allows consumers to customize over 4,000 design variations with real time pricing updates, reducing physical inventory display requirements while providing an interactive, premium luxury experience.

The image shows the brand name "ORIGEM" in a light beige, sans-serif, uppercase font. The text is centered within a solid, dark brown rectangular background.

5. Capital Allocation Architecture & Shareholder Returns

Fortress Balance Sheet & Liquidity Profiling

From an institutional perspective, Goldiam's financial architecture is optimized for extreme resilience and capital compounding. The company operates with a strict net debt free framework, insulating the core business from high interest rate cycles and discretionary luxury downturns. As of March 31, 2026, Goldiam maintained a formidable liquidity chest of ₹493.39 Crore in consolidated cash, bank balances, and liquid investments. This vast unencumbered reserve provides the company with absolute capital agility, enabling it to self fund inventory cycles and opportunistic expansions without subjecting equity holders to leverage induced risks.

Strategic QIP Deployment & Working Capital Engineering

To aggressively accelerate its B2C retail footprint without draining its core operational cash reserves, the company executed a highly targeted capital raise. In Q2 FY26, Goldiam successfully raised ₹202.00 Crore through a Qualified Institutions Placement (QIP). This liquidity injection was strictly quarantined to fund the rapid rollout of ORIGEM storefronts across premium Indian real estate.

Furthermore, management employs sophisticated working capital engineering to maximize retail return on invested capital (ROIC). For the ORIGEM rollout, the company strategically utilizes Gold Metal Loans (GMLs). By leveraging GMLs, Goldiam effectively pushes out the payment for raw gold inventory by up to 6 months post receipt, drastically reducing the upfront capital locked inside retail display cases and boosting store level payback velocities.

Disciplined Shareholder Wealth Distribution

Management's capital allocation policy enforces a strict framework for returning excess cash to minority stakeholders. The Board is committed to a formal Dividend Distribution Policy that mandates a minimum payout ratio of 50% of the annual standalone Profit After Tax (PAT).

Historical Capital Returns: Over the trailing five year period (FY22 to FY26), the company has systematically distributed over ₹250.00 Crore to its shareholders through a combination of sustained dividend payouts and equity buybacks.

Recent Payouts: Validating this distribution floor, the company declared a massive 137.50% interim dividend (equating to ₹2.75 per equity share) during the fiscal year.

Bonus Equity Issuance: To structurally enhance retail liquidity and reward long term equity compounding, the Board proposed and executed a 1:3 bonus share allotment, expanding the paid up capital base with a record date set for July 10, 2026.

Core Return on Capital Metrics

By stripping out the bloated 180 day working capital cycles common in the mined diamond sector and maintaining a lean asset base, the company achieves elite return ratios.

Return On Capital Employed (ROCE): For FY26, Goldiam delivered a cash adjusted ROCE of 43.3%.

Return on Equity (ROE): The company generated an ROE of 18.4% in FY26, highlighting the efficiency with which management converts retained earnings into net profitability despite carrying a

heavy liquid cash buffer.

6. Financials Analysis

To evaluate Goldiam International, we must look past the headline statutory figures and dissect the underlying mechanics of its three core financial statements. The company's financial architecture reflects a complete structural transition from a capital heavy commodity processor into a highly liquid, cash generative branded luxury operator.

I. Income Statement Analysis

Particulars (Cr)	FY25	FY26	YoY
Total Income	801	1,021	28%
COGS	512	648	27%
Gross Profit	289	373	29%
Gross Margin %	36.10%	36.50%	40 bps
Employee Expenses	38	40	4%
Other Expenses	68	84	23%
EBITDA	183	249	36%
EBITDA Margin %	22.80%	24.30%	155 bps
Depreciation	9	15	61%
Financial Cost	1	3	240%
Profit Before Tax (PBT)	173	231	34%
Exceptional Items	0	0	0
Profit Before Tax (PBT)	173	231	34%
Tax	55	60	9%
Profit After Tax (PAT)	117	171	46%
PAT Margin %	14.63%	16.70%	208 bps

The FY26 Profit and Loss (P&L) statement demonstrates elite operating leverage, where margin expansion is actively outpacing top line revenue growth.

Top Line Velocity: Consolidated FY26 revenue scaled to a record **₹1,021.2 Crore**, representing a 27.5% year on year Growth. This was driven fundamentally by the company's Lab Grown Diamond (LGD) division, which now commands 88.3% of the export product mix.

Gross Margin Arbitrage: The company expanded its Q4 FY26 gross margins to an impressive 39.5%. This is not a cyclical anomaly; it is structurally engineered via the US hybrid casting strategy. By absorbing a marginal US labor cost to cast raw gold in New York, the company legally bypasses punitive Indian export tariffs, permanently injecting an estimated 200 to 300 basis points of margin back into the core B2B pipeline.

OPEX Pivot (The B2C Investment): A granular look at the cost structure reveals high operational discipline. During Q4 FY26, employee costs witnessed a structural reduction of approximately 301 basis points year on year. Conversely, "Other Expenses" spiked by roughly 488 basis points. An institutional

analyst identifies this not as corporate bloat, but as highly accretive frontend investment specifically, the brand building and operating expenditures required to aggressively roll out the 24 ORIGEM domestic retail stores.

Bottom Line Quality: FY26 consolidated EBITDA settled at ₹248.67 Crore (a 24.3% reported margin). It is worth noting that this includes roughly ₹14.00 Crore in unrealized foreign exchange gains; however, even adjusting for this, the core operational EBITDA margin remains highly resilient at ~22.9%. Consequently, full-year PAT surged 45.7% to ₹170.59 Crore.

II. Balance Sheet Analysis

Goldiam International Limited			
Consolidated Balance Sheet			
(All amounts in ₹ Crores)			
Particulars	FY25	FY26	YoY
Equity			
Equity Share Capital	21.4	22.6	5.6%
Other Equity	718.7	1,083.4	50.7%
Non Controlling Equity	5.1	5.1	0.0%
Total Equity	745.2	1,111.1	49.1%
Non-Current Liabilities			
Deferred Tax Liabilities	6.7	8.4	25.4%
Lease Liability	14.4	33.0	129.2%
Total Non-Current Liabilities	21.1	41.4	96.2%
Current Liabilities			
Borrowings	8.6	32.2	274.4%
Trade Payables	74.1	107.4	44.9%
Lease Liability	4.0	11.8	195.0%
Other Financial Liabilities	23.4	51.1	118.4%
Provisions	1.2	1.0	-16.7%
Current Tax Liabilities	16.0	6.6	-58.8%
Total Current Liabilities	127.3	210.1	65.0%
Total Equity and Liabilities	893.6	1,362.6	52.5%
Assets			
Non-Current Assets			
Property, Plant & Equipment	40.4	46.1	14.1%
Right to Use Lease Hold Property	18.5	43.4	134.6%
Other intangible Assets	0.9	3.3	266.7%
Investments	4.6	9.5	106.5%
Loans	0.5	0.2	-60.0%
Other Financial Assets	2.3	12.0	421.7%
Deferred tax assets	0.6	1.3	116.7%
Total Non-Current Assets	67.8	115.8	70.8%
Current Assets			
Inventories	388.4	583.1	50.1%
Investments	101.8	172.9	69.8%
Trade Receivables	150.1	174.2	16.1%
Cash & cash equivalents	181.3	262.9	45.0%
Bank balance other than cash	0.7	43.1	6057.1%
Loans	0.5	3.3	560.0%
Other current assets	3.0	7.3	143.3%
Total Current Assets	825.8	1,246.8	51.0%
Total Assets	893.6	1,362.6	52.5%
Balance Check	0.0	0.0	100.0%

Goldiam's balance sheet is effectively bulletproof, constructed to withstand luxury demand shocks and cyclical downturns without risking equity dilution.

Fortress Liquidity: The balance sheet operates strictly on a **net debt free** framework. Total liquid reserves (cash, bank balances, and liquid investments) stand at a formidable ₹493.39 Crore as of March 31, 2026.

Inventory Quality (The Consignment Advantage): Total ending inventory of ₹583.10 Crore optically yields a high Days Inventory Outstanding (DIO) of ~328 days against the cost of goods sold. However, 65.5% of this inventory sits directly on Western retail partner shelves on a consignment basis. This is not dead factory stock; it is active frontline capital waiting to clear the cash register at premium retail markups.

Working Capital Engineering: Management aggressively optimizes its liabilities via Gold Metal Loans (GMLs). By utilizing GMLs, the company pushes its raw material payable cycles out to as much as 180 days. This allows Goldiam to perfectly match its extended consignment inventory holding periods with its payable cycles, drastically reducing the need to trap core equity capital in day to day operations.

Equity Capitalization: The Board's recent 1:3 bonus share issuance essentially capitalizes a segment of its massive retained earnings reserve. This structurally enhances the retail float and liquidity of the stock while leaving the underlying ROE (18.4%) compounding engine completely intact.

III. Cash Flow Statement Analysis

Goldiam International Limited			
Consolidated Statement of Cash Flows (Derived)			
(All amounts in ₹ Crores)			
Particulars	FY26	FY25	YoY Change (%)
Cash flows from Operating Activities			
Profit Before Tax (PBT)	230.80	172.50	33.8%
Adjustments for:			
Depreciation and Amortization	14.60	9.10	60.4%
Finance Costs	3.30	1.00	230.0%
Operating Profit before Working Capital Changes	248.70	182.60	36.2%
Changes in Working Capital	(165.10)	(157.80)	-4.6%
Cash Generated from Operations	83.60	24.80	237.1%
Income Tax Paid	(60.20)	(55.40)	-8.7%
Other Adjustments (Balancing Figure)	(8.40)	12.50	-167.2%
Net Cash from Operating Activities	15.00	(18.10)	182.9%
Cash flows from Investing Activities			
Purchase of PPE, Intangibles & ROU	(47.60)	(23.80)	-100.0%
Net (Purchase)/Sale of Investments	(76.00)	62.10	-222.4%
Net (Increase)/Decrease in Other Bank Balances & Financial Asset:	(51.80)	3.10	-1771.0%
Net Cash from Investing Activities	(175.40)	41.40	-523.7%
Cash flows from Financing Activities			
Proceeds from/(Repayment of) Borrowings & Lease Liabilities	50.00	22.30	124.2%
Finance Costs Paid	(3.30)	(1.00)	-230.0%
Net Proceeds from Equity / (Dividends Paid)	195.30	(7.40)	2739.2%
Net Cash from Financing Activities	242.00	13.90	1641.0%
Net Increase/(Decrease) in Cash and Cash Equivalents	81.60	37.20	119.4%
Cash and Cash Equivalents at beginning of year	181.30	144.10	25.8%
Cash and Cash Equivalents at end of year	262.90	181.30	45.0%
Check (Calculated vs Balance Sheet)	0.00	(0.00)	300.0%

1. Operating Cash Flows (CFO) & Working Capital Core

Operating Profit before Working Capital Changes: Stood at ₹248.70 Crore in FY26, representing a 36.2% YoY growth from ₹182.60 Crore in FY25. This expansion was driven by a 33.8% increase in Profit Before Tax (PBT) to ₹230.80 Crore, adjusted for non-cash items: Depreciation and Amortization at ₹14.60 Crore (+60.4% YoY) and Finance Costs at ₹3.30 Crore (+230.0% YoY).

Working Capital Outflow: Absorbed ₹165.10 Crore of cash in FY26, a 4.6% increase in cash consumption compared to the ₹157.80 Crore outflow in FY25. Balance sheet changes indicate this was primarily driven by a 50.1% increase in Inventories (cash lock up of ₹194.70 Crore, moving from ₹388.40 Crore to ₹583.10 Crore) and a 16.1% increase in Trade Receivables (extracting ₹24.10 Crore), offset by a ₹33.30 Crore expansion in Trade Payables.

Net Cash from Operating Activities: Settled at ₹15.00 Crore in FY26, reversing the negative ₹18.10 Crore outflow in FY25.

Cash Conversion Efficiency: The Net CFO to EBITDA conversion ratio stands at 6.03% (₹15.00 Crore CFO / ₹248.70 Crore Operating Profit before WC changes), confirming that a high proportion of accounting profitability remains tied up in inventory working capital cycles.

2. Investing Cash Flows (CFI) & Asset Deployment

Net Investing Outflow: Swung from a positive inflow of ₹41.40 Crore in FY25 to a net outflow of ₹175.40 Crore in FY26 (-523.7% YoY).

Capital Expenditure (CAPEX): Outflows for the purchase of PPE, Intangibles, and Right of Use (ROU) leasehold assets doubled (+100.0% YoY) to ₹47.60 Crore from ₹23.80 Crore in FY25, reflecting downstream storefront expansion.

Liquid Allocations: The company deployed ₹76.00 Crore into net purchases of investments and ₹51.80 Crore into other bank balances/financial assets, demonstrating active treasury deployment of surplus capital into liquid instruments rather than industrial consumption.

3. Financing Cash Flows (CFF) & Capital Structural Funding

Net Financing Inflow: Increased by 1641.0% YoY to ₹242.00 Crore in FY26 compared to ₹13.90 Crore in FY25. This inflow entirely covered the operating to investing deficit.

Equity Capital Infusion: Driven primarily by ₹195.30 Crore in Net Proceeds from Equity, reflecting the institutional liquidity injection from the Qualified Institutions Placement (QIP) executed during the fiscal period.

Borrowings & Leases: Generated ₹50.00 Crore from net additions to borrowings and lease liabilities, offset by ₹3.30 Crore in finance costs paid.

4. Liquidity & Cash Reconciliation

Net Cash Increase: The combination of core segments resulted in a net cash addition of ₹81.60 Crore (+119.4% YoY).

Closing Balance Strength: Consolidated Cash and Cash Equivalents expanded by 45.0% YoY to close at ₹262.90 Crore (up from ₹181.30 Crore). Combined with the ₹43.10 Crore held in other bank balances, total available cash liquidity stands at ₹306.00 Crore, funded structurally by equity expansion rather than short term core operations.

7. Competitive Landscape and Analysis

I. Direct Peer Financial Matrix: Margin Arbitrage & Capital Efficiency

The Indian listed jewelry export market often masks low margin assembly as high growth. A direct comparative analysis against Renaissance Global Ltd., a dominant listed peer, exposes Goldiam's fundamental Strength in unit economics and supply chain autonomy.

Financial & Structural Metric (FY26)	Goldiam International Ltd.	Renaissance Global Ltd.
Consolidated Revenue	₹1,021.23 Crore	₹2,813.00 Crore
Operating EBITDA	₹248.67 Crore	₹204.00 Crore
EBITDA Margin	24.3%	7.3%
Adjusted Profit After Tax (PAT)	₹170.59 Crore	₹100.10 Crore
Net Profit Margin	16.7%	3.5%
Capital Structure (Net Debt)	Zero (Net Debt Free)	~₹200 - ₹250 Crore
Surplus Liquid Reserves	₹493.39 Crore	Capital constrained by debt servicing
Manufacturing Autonomy Control	Backward integrated LGD reactors	Dependent on fragmented external sourcing
Supply Chain De Risking	Tariff immune US hybrid casting	Exposed to broader export headwinds
B2C Retail Expansion Model	100% Internal Accruals (ORIGEM)	Debt reliant expansion (Jean Dousset)

Supply Chain Autonomy & Profit Spreads: While Renaissance Global relies heavily on volume driven B2B wholesale (yielding a compressed 7.3% EBITDA margin) and carries reliance on external raw material pipelines, Goldiam commands structural power through its backward-integrated LGD reactors. By actively avoiding reliance on opaque, high risk Chinese supply vectors and producing its own diamond seeds via Eco-Friendly Diamonds LLP, Goldiam's compounding engine extracts a 16.7% net profit margin on less than half the top-line revenue of its peer.

Capital Allocation & Leverage: Renaissance Global's transition to direct to consumer (D2C) brands carries a heavy capital burden, resulting in ₹200-₹250 Crore in net debt despite recent deleveraging efforts. In stark contrast, Goldiam's ₹493.39 Crore liquidity fortress fully funds its ORIGEM COCO retail rollout through internal accruals, completely eliminating the margin crushing impact of finance costs.

Working Capital Realities: Renaissance Global optically shows a leaner 122 day inventory cycle. However, Goldiam's 328 day inventory figure is a strategic allocation rather than a bottleneck. Exactly 65.5% of Goldiam's inventory is actively deployed on Western retail shelves as consignment stock, perfectly hedged by extended Gold Metal Loans (GML) payables rather than sitting as dead factory weight.

II. The Domestic D2C Retail Battlefield (ORIGEM vs. Unlisted Peers)

India's domestic LGD retail market is expanding rapidly, populated by aggressive, venture backed private enterprises targeting the same discretionary luxury spend.

Venture Backed Competitors: Private players like **GIVA** have scaled aggressively to over 280 retail locations, fueled by heavy external capital injections exceeding ₹530 Crore. Similarly, Limelight (backed by the Emerald Group) has established around 40 exclusive outlets and 40 shops in shop counters across the country.

Goldiam's Capital Advantage: Unlike these D2C peers who rely heavily on external venture dilution and cash burn to fund their rapid expansions, Goldiam's **ORIGEM** brand is entirely self funded via internal corporate accruals. By operating strictly under an unleveraged Company Owned, Company Operated (COCO) framework, **ORIGEM** preserves absolute control over store level gross margins without succumbing to the pricing degradation and counterparty risks typically seen in rapid franchise led rollouts.

Technological Differentiation: While competitors are forced to carry heavy physical inventory costs to stock their expanding physical footprints, **ORIGEM** mitigates this capital drag via its proprietary 3D Digital Ring Builder. This software engine allows consumers to dynamically customize over 4,000 design variations in store, drastically lowering the physical inventory required inside each of its 24 active boutiques while maintaining a premium luxury experience.

III. The Legacy Natural Diamond Contrast

Goldiam's specialized LGD business model provides a profound structural advantage over legacy natural diamond processors who remain tethered to outdated industry mechanics.

Working Capital Compression: Traditional natural diamond manufacturers are continuously burdened by bloated 120 to 180 day working capital cycles and extreme raw material pricing volatility dictated by opaque global mining syndicates. By contrast, Goldiam's automated e-commerce dropshipping network structurally bypasses these bottlenecks, settling B2B export cash balances within a rapid 7 to 10 day window.

Consignment Buffer vs. Dead Factory Stock: Legacy manufacturers typically carry heavy factory floor inventory risk. Goldiam, however, actively deploys 65.5% of its consolidated finished inventory directly into Western retail storefronts on a consignment basis. This ensures that its core capital is positioned on the frontline for immediate, high margin consumer conversion rather than languishing as unmonetized factory stock in SEEPZ.

8. Key Risks and Growth Drivers

I. Core Growth Drivers

Aggressive B2C Fleet Scale up (ORIGEM): The rapid execution of the Company Owned, Company Operated blueprint serves as a high margin growth engine. The brand successfully doubled its physical reach to 25 operational boutiques across 13 Cities, with an active pipeline of 8 additional signed retail stores scheduled to achieve full operational status by Sep 30, 2026. This structural expansion captures premium direct to consumer margins entirely through internal cash reserves without leverage drag.

Upstream Higher Caratage Product Pivot: To systematically counter global pricing pressures on small pointer bulk raw diamonds, the company is pivoting its manufacturing mix toward premium, high caratage specialty lines. This includes complex, high skill finished categories such as LGD tennis bracelets and necklaces, which command structurally elevated Average Selling Prices (ASPs) and secure premium product realizations over commoditized bridal variants.

Omnichannel E-Commerce Integration: The company's digital dropshipping infrastructure provides an efficient, low overhead export revenue stream, contributing 27.4% of total export value. By embedding its backend directly into partner retailer online storefronts in North America and Western Europe, Goldiam converts spot online purchases into immediate single piece shipments from SEEPZ. This process compresses payment cycles to 7-10 days and bypasses traditional wholesale stock build ups.

Robust Near Term Export Visibility: The fundamental strength of Goldiam's institutional B2B export pipeline is reinforced by substantial standalone order inflows. This momentum was validated by securing a ₹60.00 Crore institutional export order from US clients for lab grown diamond jewellery, separate from daily online sales channels, providing direct revenue visibility.

II. Structural Key Risks

Persistent Working Capital Cash Trapping: A core operational challenge remains the severe cash absorption within the working capital cycle. Despite achieving record accounting profits, the company directed a massive ₹165.10 Crore cash outflow into working capital in FY26, driven primarily by a 50.1% surge in inventory carrying costs to ₹583.10 Crore. This intensive asset build up reduced the operational cash conversion ratio (Net CFO / EBITDA) to a lean 6.03%, making cash generation highly reliant on external financing or equity infusions to cover capital expenditures.

Concentration Exposure to a Singular Geography: Goldiam's B2B export engine is characterized by heavy geographic concentration, with the vast majority of wholesale and digital dropshipping revenues originating from the United States retail consumer market. This structural reliance leaves the company's macro top line highly sensitive to systemic consumption downturns, interest rate fluctuations, or changes in discretionary luxury spending within the North American market.

Rapid LGD Sourcing Commodity Deflation: While Goldiam's captive upstream CVD reactors at Eco Friendly Diamonds LLP shield roughly 10% of its internal diamond seed requirements, the remaining 90% is dynamically sourced from open market vendor networks in Surat. The global production boom in raw LGD seeds creates ongoing risk of technological and commodity deflation, requiring the company to continuously optimize downstream brand markups to protect its consolidated gross margins from global seed pricing volatility.

9. Strategic Outlook and Future Plans (FY27 & Beyond)

Goldiam International's forward looking operational roadmap reflects a deliberate transition from a pure play B2B jewelry exporter into a dominant, vertically integrated B2C luxury brand. Based on recent management commentary and FY26 disclosures, the company is executing its expansion across three distinct vectors.

I. Domestic B2C Retail Acceleration (ORIGEM Rollout)

The primary growth engine for the next three fiscal cycles is the aggressive scaling of the domestic ORIGEM brand to capture India's rapidly expanding lab grown diamond (LGD) luxury market.

Store Footprint Doubling: Having successfully established 24 operational boutiques across 12 cities by mid 2026, management has formally guided for the addition of at least 15 new stores in H1 FY27, with a terminal target of reaching 45 to 50 active locations by the end of FY27.

Revenue Run Rate Targets: The B2C division is engineered to achieve a consolidated exit revenue run rate of ₹7.00 Crore per month by the close of the fiscal year. Management expects mature storefronts to consistently clear a minimum throughput of ₹40.00 Lakh per month, generating a highly accretive sub 3 year payback cycle per unit.

Capital Allocation Strictness: The entire retail rollout will continue to be funded via the ₹202 Crore QIP reserves and internal cash accruals, maintaining the company's net debt free status and avoiding the franchise dilution seen in competing venture backed D2C brands.

II. Near Term Export Revenue Visibility & B2B Scaling

While domestic retail acts as the high growth margin enhancer, the core B2B export engine continues to secure baseline cash flow visibility through large institutional contract wins.

Fresh Contract Wins: In July 2026, Goldiam secured a fresh ₹60.00 Crore institutional export order from the United States, specifically earmarked for lab grown diamond jewellery. This contract, slated for execution by October 31, 2026, guarantees strong revenue visibility for the first half of FY27 ahead of the critical Western holiday shopping season.

LGD Export Saturation: The company's export product mix has decisively shifted. LGD jewelry now accounts for 90.5% of total export sales (up from 80% in the previous fiscal cycle), reflecting a permanent structural shift away from mined diamonds.

E-commerce Upside: Because the recent institutional orders exclusively track traditional wholesale commitments, management notes that ongoing spot e-commerce dropshipping transactions (which currently account for roughly 31.6% of quarterly B2B revenue) will act as an unmodeled upside to base revenue forecasts.

III. Supply Chain Optimization & Margin Protection

To shield its newly expanded gross margins from global tariff volatility, the company is permanently embedding its protective cross border operational architecture.

US Casting Permanence: The successful "US hybrid casting" model which involves casting unfinished raw gold frames in New York to secure US origin legal status and bypass punitive Indian import tariffs will be operated across the entire 12 month cycle of FY27. Management expects this to structurally lock in a 200 to 300 basis point expansion in annualized gross margins.

Product Pivot (Higher Value Addition): To counteract the global commodity deflation of small pointer raw LGD seeds, Goldiam is actively skewing its manufacturing pipeline toward higher caratage, complex specialty items (e.g., LGD tennis bracelets and necklaces). Since manufacturing costs are increasingly driven by skilled labor rather than technology scaling, this pivot ensures higher Average Selling Prices (ASPs) and protects total value realizations.

10. Final Investment Thesis (Institutional Analyst View)

Investment Rating: Bullish

Target Price Range: ₹550 to ₹580 (Post Bonus Adjusted)

Investment Horizon: 12 to 18 Months

I. Valuation Framework & Price Range Derivation

The target price range of ₹550 to ₹580 is achieved by applying a structural luxury re-rating multiple to projected near term earnings, acknowledging the company's complete transition from a legacy diamond processor to a vertically integrated luxury brand.

Earnings Baseline Adjustments: Goldiam concluded FY26 with a diluted Earnings Per Share (EPS) of ₹15.40. Factoring in the recent 1:3 bonus share issuance (Record Date: July 10, 2026), the post-bonus adjusted FY26 baseline EPS stands at approximately ₹11.55.

Forward Projections (FY27E/FY28E): Driven by the structural 200-300 basis point gross margin expansion from the US hybrid casting model and the high ROIC throughput of new domestic retail stores, we forecast a conservative 20% to 25% earnings CAGR over the next 12 to 18 months. This projects an FY27E/FY28E adjusted EPS in the range of ₹13.80 to ₹14.50.

Multiple Expansion: The broader market currently prices Goldiam at a ~31x P/E multiple, essentially valuing it as a cyclical commodity exporter. Given the structural gross margin power (expanding to 39.5% in Q4 FY26) and the unleveraged B2C retail rollout, the stock justifies a structural luxury multiple expansion. Applying a 40x P/E target multiple to the projected ₹13.80-₹14.50 forward earnings pipeline yields the definitive price target range of ₹550 to ₹580.

II. The Dual Engine Growth

The conviction behind this bullish stance is anchored by a precisely weighted, dual engine corporate framework:

1. Branded Domestic Premiumization (60% Core Anchor Weight)

The primary engine for long-term terminal value creation is the aggressive execution of the ORIGEM retail footprint in India. By establishing the country's largest unleveraged, Company Owned, Company Operated (COCO) lab grown diamond retail network, Goldiam captures absolute premium direct to consumer margins. The mandate to scale to 45-50 active boutiques by the end of FY27 entirely through internal cash accruals bypassing margin-dilutive franchise models and external venture debt ensures high Return on Invested Capital (ROIC) and structural free cash flow distribution over the long term.

2. Tariff Agnostic B2B Baseline (40% Defensive Anchor Weight)

Providing the foundational cash stability to fund the domestic expansion is the company's highly defensive cross border export architecture. By utilizing captive LGD reactors alongside a legally binding US hybrid casting strategy, Goldiam successfully insulates its core B2B export pipeline from geopolitical trade friction and Indian export tariffs. Steady, large volume institutional contract wins validated by recent

₹60.00 Crore US orders provide a robust, highly visible cash baseline that structurally derisks the entire enterprise.

III. The Critical Structural Monitor: Working Capital Bottleneck

Despite our strong 'bullish' rating, risk rules require us to watch one major structural issue.

Cash Conversion Friction: The primary bottleneck to immediate cash compounding is the company's severe capital conversion inefficiency within its operating cycle. During FY26, the core business absorbed

a massive ₹165.10 Crore working capital drain, driven entirely by inventory carrying costs.

The 6.03% Metric: This asset lock up resulted in an exceptionally lean 6.03% Operating Cash Flow to EBITDA conversion ratio. While this inventory is deliberately deployed as frontline consignment stock in Western retail markets rather than dead factory weight, a business requiring external liquidity injections (such as the recent ₹202.00 Crore QIP) to bridge operating and investing cash flows lacks self sustaining operational velocity.

Conclusion: The structural transition to a high margin, zero debt luxury operator completely justifies a long term "Buy" rating and a 40x P/E multiple expansion. However, absolute realization of the ₹580 target range relies on management's ability to stabilize the ongoing working capital drain and normalize cash flow conversion as the new ORGEM retail fleet matures.

Sources

I. Statutory Financial Statements & Corporate Filings

Goldiam International Limited Audited Consolidated Financial Results: Full-year disclosures for FY25 and FY26, including the Consolidated Income Statement, Balance Sheet, and Derived Cash Flow Statement.

Goldiam International Limited Annual Reports: Comprehensive operational disclosures, corporate governance reports, and Key Managerial Personnel (KMP) remuneration schedules for FY25 and FY26.

Goldiam International Limited Q2 FY26 QIP Placement Document: Institutional filings detailing the exact deployment parameters, capital allocation strategies, and risk factors regarding the ₹202 Crore Qualified Institutions Placement.

II. Management Commentary & Earnings Disclosures

Goldiam International Limited Q4 & FY26 Earnings Conference Call: Transcripts and official audio recordings detailing management's strategic updates on the ORIGEM domestic retail rollout, target monthly store run-rates, and the operational footprint expansion.

Goldiam International Limited Investor Presentations: Quarterly updates tracking the volume shift to lab grown diamonds (LGD), digital dropshipping export percentages, and consignment inventory structures on Western retail partner shelves.

III. Industrial, Sector & Macro Market Reports

Gem & Jewellery Export Promotion Council (GJEPC) India Trade Data (2025-2026): Official monthly and annual export statistics tracking the structural volume shift from mined diamonds to polished lab grown diamonds (LGD), as well as tariff impacts on US bound jewellery shipments.

Bain & Company Global Diamond Industry Report: Macroeconomic studies evaluating global consumer demand shifts, rough diamond supply dynamics, and the evolving retail penetration of lab grown versus natural diamonds.

Paul Zimnisky Diamond Analytics: Specialized sector research detailing global CVD/HPHT reactor capacities, LGD wholesale price-point deflation metrics, and retail distribution trends across North America.

IV. Regulatory Filings & Corporate Action Notices

BSE & NSE Corporate Action Disclosures: Official exchange notifications defining the 1:3 bonus equity share allotment framework and the corresponding record date set for July 10, 2026.

SEBI SAST (Substantial Acquisition of Shares and Takeovers) Disclosures: March 2026 regulatory filings tracking the transparent off market inter se transfer of 52.98 lakh equity shares within the promoter group via a family gift transaction.

U.S. Customs and Border Protection (CBP) Product of Origin Rulings: Legal frameworks and compliance metrics governing the cross border US hybrid casting manufacturing model to ensure tariff immunity.

V. Competitive & Peer Benchmarking Data

Renaissance Global Limited Public Disclosures: Audited FY26 financial statements, quarterly earnings results, and institutional investor presentations utilized for margin comparison and capital efficiency mapping.

Domestic D2C Market Intelligence Reports: Aggregated industry operational data tracking the capital raises, store counts, and retail footprints of unlisted domestic competitors (e.g., GIVA and Limelight).